

## UNIT I

### What Is Financial Literacy?

**Financial literacy** means understanding how to manage your money wisely. It includes skills like saving, budgeting, spending smartly, avoiding debt, and investing for the future.

When you are financially literate, you know how to make good choices about money. This helps you avoid scams, reach your life goals like saving for college or retirement, and even run a business better.

It's best to start learning early because the more you know, the better your financial future will be. You can build these skills by reading books, listening to podcasts, or getting advice from money experts.

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### Definitions of financial literacy:

**Financial literacy** means knowing how to make smart choices about money in everyday life. Different groups describe it slightly differently, but the core idea stays the same. Here's a breakdown in simple terms:

- It's the ability to **make wise money decisions**, like saving, spending, or planning.
- It's considered **essential for modern life**, helping people handle basic financial tasks and avoid money trouble.
- It involves using **financial knowledge in real life**, like budgeting or choosing the best way to invest.
- It helps people **take care of their personal finances** and stay secure financially.
- According to the U.S. Government Accountability Office (2010), it means having the **skills to deal with money now and in the future**, especially during big life events like job loss or planning for education or retirement.

## **Understanding Financial Literacy:**

Financial literacy means knowing how money works and how to use it wisely. It includes understanding important ideas like budgeting, saving, investing, how interest works, managing debt, and planning for the future.

If someone doesn't understand these concepts (called *financial illiteracy*), they might make bad money choices, which can lead to problems like too much debt or not having enough savings.

### **Steps to Improve Your Financial Skills:**

- Learn how to **make a budget** (a plan for how to spend and save money)
- Keep track of where your money goes
- Understand ways to **pay off debt** smartly
- Start **planning early for retirement**
- Set clear financial goals and learn how to reach them
- Be prepared to handle financial surprises or big changes in life

Basically, being financially literate helps you feel more confident with your money and avoid financial stress.

Would you like me to organize all your notes into a quick-reference table or handout-style summary for presentations or teaching?

## **Benefits of Financial Literacy:**

Financial literacy helps people make smart choices with their money. It means having the knowledge and experience to decide things like:

- How to **save money** regularly
- When and why to buy **insurance**
- Whether to invest in **real estate**

- How to pay for **college**
- Creating a **budget**
- Planning for **retirement**
- Understanding **taxes**

It also helps you answer questions like:

- Do I really need this?
- Can I afford it?
- Is it something that adds value (**asset**) or costs me money (**liability**)?

Being financially literate shows how people handle money in everyday life. It helps them build a clear money plan—knowing how much they earn, how much they spend, and what they owe.

This skill isn't just useful for individuals; it's also important for **small business owners**, who play a key role in the economy.

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## **Fundamental Components of Financial Literacy**

Financial literacy consists of several financial components and skills that allow an individual to gain knowledge regarding the effective management of money and debt.

Below are the fundamental components of financial literacy that should be learned.

### **1. Budgeting**

In budgeting, there are four main uses for money that determine a budget: spending, investing, saving, and giving away. Creating the right balance throughout the primary uses of money allows individuals to better allocate their income, resulting in financial security and prosperity. In general, a budget should be composed in a way that pays off all existing debt while leaving money aside for saving and making beneficial investments.

### **2. Investing**

To become financially literate, an individual must learn about key components in regards to investing. Some of the components that should be learned to ensure

favourable investments are interest rates, price levels, diversification, risk mitigation, and indexes. Learning about crucial investment components allows individuals to make smarter financial decisions that may result in an increased inflow of income.

### **3. Borrowing**

In most cases, almost every individual is required to borrow money at one point in their life. To ensure borrowing is done effectively, an understanding of interest rates, compound interest, time value of money, payment periods, and loan structure is crucial. If the criteria above are understood sufficiently, an individual's financial literacy will increase, which will provide practical borrowing guidelines and reduce long-term financial stress.

### **4. Taxation**

Gaining knowledge about the different forms of taxation and how they impact an individual's net income is crucial for obtaining financial literacy. Whether it be employment, investment, rental, inheritance, or unexpected, each source of income is taxed differently. Awareness of the different income tax rates permits economic stability and increases financial performance through income management.

### **5. Personal**

**Financial Management** The most important criteria, personal financial management, includes an entire mix of all of the components listed above. Financial security is ensured by balancing the mix of financial components above to solidify and increase investments and savings while reducing borrowing and debt. Achieving an in-depth knowledge of the financial components discussed above guarantees an increase in an individual's financial literacy.

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## **Benefits of Financial Literacy**

Being financially literate is a skill that brings forth an assortment of benefits that can improve the standard of living for individuals through an increase in financial stability. Listed below are the assortment of benefits of being financially literate:

- Ability to make better financial decisions
- Effective management of money and debt
- Greater equipped to reach financial goals
- Reduction of expenses through better regulation

- Less financial stress and anxiety
- Increase in ethical decision-making when selecting insurance, loans, investments, and using a credit card
- Effective creation of a structured budget
- Making steps to becoming financially literate is an important component of life that can ensure financial solidity, reduce anxiety, and stimulate the achievement of financial goals.

### **Why Financial Literacy Matters**

From day-to-day expenses to long-term budget forecasting, financial literacy is crucial for managing these factors. It is important to plan and save enough to provide adequate income in retirement while avoiding high levels of debt that might result in bankruptcy, defaults, and foreclosures.

### **Understanding Basic Financial Concepts**

#### **1. Money**

Money is a recognised medium of exchange in the economy. It is an asset that can be stored and used in the form of currency, or as value.

#### **2. Currency**

Currency is the physical form of money in the form of coins and rupees. Each country typically has its own currency as a medium of exchange, issued by the central bank. In India, the Government of India (GoI) and Reserve Bank of India (RBI) are the issuers of the currency, i.e. Indian Rupees

#### **3. Bank**

A bank is a government authorised financial institution which acts as a custodian of money deposited by account holders and uses the collected funds to extend loans to individuals and businesses while charging interest on the same.

#### **4. Account**

An account is a repository of the funds held by a bank on behalf of the account holder. An account can be of various kinds, and is identified by a unique account number issued to the account holder.

## 5.Saving

Savings is the amount of money that is remaining from income, after the expenses are made. Investment An investment refers to an asset acquired with the objective of generating income or appreciation.

## 6.Internet Banking

Electronic payment system that enables customers of a bank or other financial institution to conduct a range of financial transactions through the financial institution's website.

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## **Simple interest & Compound Interest**

- *Interest is money earned when money is invested.*
- *Interest is charged incurred when a loan or credit is obtained.*
- *2 types of interest:*
  - *Simple interest*
  - *Compound interest*

 **Simple Interest:** Simple interest can be defined as the principal amount of a loan or deposit a person makes into their bank account.

The simple interest formula is used to calculate the interest earned or paid on a principal amount over a specified period at a fixed interest rate. It is straightforward and does not take into account any interest earned on previously accumulated interest. The formula for simple interest is:

$$\text{Simple Interest (SI)} = (P \times R \times T) / 100$$

Where:

- SI= Simple Interest
- P= Principal amount (the initial amount of money borrowed or invested)
- R= Interest rate (expressed as a decimal, not as a percentage)
- T= Time period (usually in years)

 **Compound Interest:** Compound interest is the interest that accumulates and compounds over the principal amount.

Compound interest is a powerful concept in finance that allows your money to grow exponentially over time. Unlike simple interest, which is calculated only on the initial principal amount, compound interest takes into account the accumulated interest as well. This means that the interest earned in each period is added to the principal, and subsequent interest calculations are based on the new, higher amount.

The formula for compound interest is given by:

$$\text{Compound Interest (CI)} = P \times (1 + \frac{r}{n})^{nt} - P$$

Compound Interest Formula

$$\text{C.I} = P(1 + \frac{r}{n})^{nt} - P$$

**Notations in Compound Interest Formula:**

|             |                                        |
|-------------|----------------------------------------|
| <b>C.I.</b> | <b>Compound Interest</b>               |
| <b>P</b>    | <b>Principal Amount</b>                |
| <b>A</b>    | <b>Total Accumulated Amount</b>        |
| <b>r</b>    | <b>Rate of Interest</b>                |
| <b>n</b>    | <b>Compounding Frequency Per Annum</b> |
| <b>t</b>    | <b>Time (in Years)</b>                 |

### What is the Difference between Simple and Compound Interest?

| Simple Interest and Compound Interest Differences |                                                                                                               |                                                                                                                                                           |
|---------------------------------------------------|---------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------|
| Parameter                                         | Simple Interest                                                                                               | Compound Interest                                                                                                                                         |
| Definition                                        | Simple Interest can be defined as the sum paid back for using the borrowed money over a fixed period of time. | Compound Interest can be defined as when the sum principal amount exceeds the due date for payment, along with the rate of interest for a period of time. |
| Formula                                           | $S.I. = (P \times T \times R)/100$                                                                            | $C.I. = P(1+R/100)^t - P$                                                                                                                                 |
| Return Amount                                     | The return is much lesser when compared to compound interest.                                                 | The return is much higher.                                                                                                                                |
| Principal Amount                                  | The principal amount is constant.                                                                             | The principal amount keeps on varying during the entire borrowing period.                                                                                 |
| Growth                                            | The growth remains quite uniform in this method.                                                              | The growth increases quite rapidly in this method.                                                                                                        |
| Interest Charged                                  | The interest charged on is for the principal amount.                                                          | The interest charged on it is for the principal and accumulated interest.                                                                                 |

## What is Inflation and its effect on Investments?

Inflation refers to rise in prices of goods and services. Over a period of time, as the cost of goods and services increases, the ability of a unit of money, say one rupee, to buy goods and services keeps declining. In other words, the Purchasing Power of money, i.e. ability of money to buy anything, decreases. It is important to take into account the effects of inflation on your investments during financial planning. Investors greatly fear inflation since it reduces the value of their investment.

### **How does inflation affect my investment decision?**

A Vada Pav costing ₹2/- five years ago would now cost ₹7/-. This increase in the price is not as a result of higher quantity or a better quality of the Vada Pav, but due to inflation impacting the prices of the ingredients and finally the end product.

### **What are the steps that you can take to avoid the adverse effects of inflation?**

Try to determine your "real rate of return", or the return you can expect after factoring in the effects of inflation. To reduce the risk of decrease in the value of money, you can invest the money available to you today at a rate equal or higher than the rate of inflation.

### **What is Power of Compounding?**

With simple interest, you can earn interest only on the principal (that is, the amount you initially invested); while with compounding interest, you earn interest on the principal as well as, previously earned interest. Let us understand the magic of compounding with the help of an example.

| Year | Principal                              | Rate of return | Return earned | Maturity value |
|------|----------------------------------------|----------------|---------------|----------------|
| 1    | 1,000                                  | 9%             | 90            | 1,090          |
| 2    | 1,090<br>(1000+ interest earned of 90) | 9%             | 98            | 1,188          |
| 3    | 1,188<br>(1,000+interest earned 90+98) | 9%             | 295           | 1295           |
| 10   | 2,172                                  | 9%             | 195           | 2,367*         |
| 20   | 5,142                                  | 9%             | 463           | 5,604          |
| 40   | 28,816                                 | 9%             | 2,593         | 31,409         |

\*Principal amount is changing at the end of every year on account of addition of return earned for that year to the principal. As principal is increasing every year, the return earned on increased principle also is increasing. The above example shows how an initial investment of ₹1,000/- grows to ₹31,409/- over a period of 40 years. When the return is reinvested, you earn a return on the previously earned return and so on. Whereas in case of simple interest, the principal amount remains at ₹1,000/- only for all the 40 years and with annual interest of ₹90/-, the amount grows to only ₹4,600/-.

Note: - Principal + return from the first year collectively becomes the principal for the second year. - Principal + return from the second year collectively becomes the principle for the third year and so on.

### The Rule of 72

Mathematicians say that you can find out how long it will take you to double your money simply by dividing the number 72 by the interest rate. So let's say your parents give you ₹200/- for your birthday and you plan to invest it. If you put the money into an account that earns 6 percent (6%) interest a year, how long will it take to grow to ₹400/-?

$72 / 6\% \text{ interest} = 12 \text{ years}$

So in 12 years, your money will have doubled to ₹400/-.

INTEREST RATE      YEARS TO DOUBLE

**72 ÷ R = T**

— FOR EXAMPLE —

**72 ÷ 3 = 24**

3% ANNUAL INTEREST RATE      24 YEARS TO DOUBLE

Divide the rule number (72) by the annual interest rate (R) to find out the approximate time (T) required for doubling your money.

## What Is GDP?

- GDP refers to the gross domestic product and is a widely used measure to determine the size of a nation's economy.
- It represents the total amount of goods and services produced in a country within a financial year.
- It only counts purchases of newly produced goods and services during the period.
- **Expenditure Approach**
- The expenditure approach measures a country's economic activity by summing all spending on final goods and services during a specific period.
- It captures demand from households, businesses, government, and foreign buyers, offering a clear view of aggregate demand.
- **GDP Formula**
- The formula for GDP under the expenditure approach is:
- $GDP = C + I + G + (X - M)$
- Where each term represents a different spending category.

### **Components :**

- **Consumption (C)**  
Household spending on goods and services—everything from groceries and rent to entertainment and healthcare.
- **Investment (I)**  
Business expenditures on capital equipment (machinery, buildings) and changes in inventories. Includes new residential construction.
- **Government Purchases (G)**  
Expenditures by central , state, and local governments on goods and services (e.g., defence, education, infrastructure).
- **Exports (X)**  
Value of domestically produced goods and services sold abroad, adding to domestic production.

- **Imports (M)**

Value of foreign-produced goods and services purchased domestically; subtracted because they're not produced locally.

**Example Calculation**

Data for a hypothetical economy (in ₹ billions):

| Component                | Value |
|--------------------------|-------|
| Consumption (C)          | 1,200 |
| Investment (I)           | 300   |
| Government Purchases (G) | 400   |
| Exports (X)              | 250   |
| Imports (M)              | 150   |

Calculation:

$$\text{GDP} = 1,200 + 300 + 400 + (250 - 150) = \mathbf{2,000 \text{ ₹ billion}}$$